

Complex Purchase Order Terms

Input document for contract-analysis agent robustness testing

This version is deliberately more difficult than a direct clause-to-answer document: it contains precedence rules, non-operative summaries, annex extracts, conditional payment triggers, carve-outs, and cross-referenced exceptions.

Document Control

Benchmark-only purchase order terms for automated contract-analysis evaluation. This document is intentionally dense and internally cross-referenced. It is not for signature, execution, or commercial reliance.

The test objective is to determine whether an agent can identify operative wording, ignore background notes and non-binding summaries, apply the precedence rule, and classify each checklist requirement as Met, Not Met, or Partially Met.

Important instruction for reviewers: do not assume that a heading gives the answer. Several annex notes and management summaries deliberately conflict with the operative clauses below.

Commercial Snapshot

Buyer: Godrej Process Equipment Ltd. Supplier: Atlas Fabrication Systems Pvt. Ltd. Project: modular pressure-vessel supply package for the Amber Expansion Project. Purchase Order value: INR 10,000,000. Delivery basis: FCA Supplier Works, unless expressly amended by a signed Purchase Order amendment.

Delivery structure: Lot A - shell assemblies; Lot B - internals and nozzles; Lot C - instrumentation, spares, and commissioning support. The order includes drawings, manufacturing, testing, packing, dispatch, and limited commissioning support.

Non-binding management summary: the parties intend generally fair risk allocation. The summary is included only to make the document realistic and is not an operative clause.

Article 00511.1 - Precedence and Interpretation

00511.1.1 Order of precedence. In case of inconsistency, the following order applies: (a) signed Purchase Order amendment; (b) Special Conditions in Articles 00511.2 to 00511.16; (c) Annex B - Commercial Schedule; (d) Annex C - Logistics Protocol; (e) the General Procurement Conditions; and (f) email clarifications not incorporated by amendment. A clause labelled as a background note or management summary is non-operative.

00511.1.2 Conflict handling. A stricter Special Condition overrides a more supplier-friendly General Procurement Condition even if the General Procurement Condition appears later in this document. Where a numerical value appears in both words and figures, the more specific operative cross-reference controls.

00511.1.3 Evidence format. Clause references are intentionally granular so that an agent must cite the exact sub-clause rather than the article heading.

Article 00511.2 - Payment and Invoicing

00511.2.1 Advance payment. Subject to Supplier acknowledging the Purchase Order and furnishing the documents listed in Annex B, Buyer shall arrange an advance equal to forty-five percent (45%) of the Purchase Order value. Thirty percent (30%) is payable within five (5) business days after PO acknowledgement. The remaining fifteen percent (15%) is payable only after Buyer receives the performance bank guarantee, the project kick-off minutes signed by both parties, and the first document submission register. If these conditions are not satisfied within twenty (20) days, Buyer may defer the second advance tranche without interest.

00511.2.2 Balance payment and valid invoice. Except for disputed amounts, Buyer shall pay accepted invoices within thirty (30) days after receipt of a valid tax invoice. An invoice is valid only after the corresponding goods receipt note, inspection release, and packing-list reconciliation are completed in Buyer's system. If those acceptance records are completed after invoice receipt, the thirty-day clock starts from the later acceptance record, not the invoice date.

00511.2.3 Partial delivery and invoicing. Supplier may dispatch Lot A, Lot B, and Lot C separately and may raise a corresponding invoice for each completed lot. Buyer may reject a lot only for a documented quality or safety non-conformance. Buyer shall not withhold payment for an accepted lot merely because another lot is pending.

00511.2.4 Retention. The payment schedule does not waive Buyer's right to withhold disputed tax amounts, statutory deductions, or amounts ordered by a competent authority. This retention clause is not intended to reduce the agreed advance percentage but can affect payment timing.

Article 00511.3 - Performance Security and Bank Guarantees

00511.3.1 Performance bank guarantee. Supplier shall furnish an unconditional performance bank guarantee equal to ten percent (10%) of the Purchase Order value, valid until expiry of the standard guarantee period plus ninety (90) days.

00511.3.2 Bridge guarantee. In addition to the guarantee in Article 00511.3.1, Supplier shall furnish a temporary bridge performance guarantee equal to two percent (2%) of the Purchase Order value from the date of the first advance tranche until the earlier of successful FAT release or first dispatch. The bridge guarantee may be released earlier only by Buyer's written finance approval.

00511.3.3 General Procurement Condition 14.2, which says performance security should normally not exceed ten percent, applies only where Article 00511.3.2 is not invoked.

Article 00511.4 - Delivery, Readiness, and Storage

00511.4.1 Readiness and free storage. Supplier shall issue a readiness notice after FAT clearance. If Buyer defers collection after readiness notice, Supplier shall store the affected equipment free of charge for the first three (3) working days only. Annex C contains a logistics planning note referring to seven days, but that note is expressly non-operative under Article 00511.1.

00511.4.2 Paid storage. From the fourth working day after readiness notice, Buyer shall pay storage charges at one percent (1%) of the Purchase Order value allocated to each affected equipment item per week, or part of a week, until collection. Storage charges are without prejudice to Supplier's right to claim insurance or preservation costs caused by abnormal storage conditions.

00511.4.3 Preservation records. Supplier shall maintain weekly preservation logs. Missing logs do not extinguish storage charges but may affect proof of preservation cost.

Article 00511.5 - Liquidated Damages

00511.5.1 Documentation and engineering submittals. Delay in routine manuals, vendor data books, certificates, or non-critical engineering submittals shall not attract standalone liquidated damages. However, delay in a document identified as a Critical Dispatch Document in Annex B that directly prevents FAT release shall be treated as a delay in equipment delivery for the affected lot.

00511.5.2 Equipment delivery. For delay in delivery of equipment beyond the contractual delivery date, Supplier shall pay liquidated damages at zero point five percent (0.5%) of the value of the undelivered part per completed week of delay. Delivery LD for the delayed equipment shall not exceed five percent (5%) of the value of the undelivered part.

00511.5.3 Remedial work. Liquidated damages shall not apply to remedial work after delivery, warranty repair, or replacement. Buyer may require a reasonable corrective-action plan, but monetary LD shall not be charged solely for remedial-work timing.

00511.5.4 Aggregate delay exposure. Delivery LD, deemed delivery LD arising from Critical Dispatch Documents, and schedule service credits under Annex B shall together not exceed seven point five percent (7.5%) of the total Purchase Order value. This aggregate cap overrides any lower general cap in the General Procurement Conditions.

Article 00511.6 - Guarantee and Warranty

00511.6.1 Standard guarantee. Supplier guarantees the equipment for two (2) months from successful provisional commissioning or eighteen (18) months from dispatch from Supplier works, whichever occurs earlier. If commissioning is delayed solely because Buyer has not provided utilities, access, or foundation readiness for more than sixty (60) days, the commissioning limb is deemed to have started on the sixty-first day after delivery to site.

00511.6.2 Remedial guarantee. Any repaired or replaced component shall be guaranteed for twelve (12) months from completion of repair or replacement, or until eighteen (18) months from original dispatch of the affected equipment, whichever occurs earlier. The remedial guarantee applies to the repaired or replaced component only unless the defect affects the entire equipment train.

00511.6.3 Warranty procedure. Buyer must notify defects within ten (10) business days after discovery. Late notice does not bar a claim unless Supplier is materially prejudiced.

Article 00511.7 - Force Majeure

00511.7.1 Events. Force Majeure means an event beyond the reasonable control of the affected party, including Act of God, expropriation, nationalization, embargo, changes in law or regulation, war, sabotage, floods, severe weather, fires, strikes, lockouts, epidemics, pandemics, quarantine restrictions, and government action directly preventing performance.

00511.7.2 Supply-chain events. Supplier may claim Force Majeure relief for events affecting only the Tier-1 critical sub-suppliers named in Annex D or the approved international logistics carrier. Relief is not available for unnamed sub-contractors, alternate vendors, internal labour allocation issues, or price increases unless the event independently satisfies Article 00511.7.1.

00511.7.3 Notice. The affected party must notify the other party within seven (7) days after becoming aware of the event and must provide a mitigation plan within fourteen (14) days. Failure to provide notice may reduce relief to the extent of actual prejudice.

Article 00511.8 - Defect Liability

00511.8.1 Defect liability cap. Supplier shall correct defects arising during the guarantee period. Supplier's aggregate liability for repair or replacement of defective equipment under this Article shall not exceed ten percent (10%) of the total Purchase Order value.

00511.8.2 Excluded defect costs. The cap in Article 00511.8.1 does not apply to direct costs of emergency removal, re-installation, or temporary site stabilization if the defect creates a safety shutdown. Those excluded costs remain recoverable as direct damages subject

to Article 00511.14.

00511.8.3 Consumables. Normal wear parts and consumables are excluded unless the defect is caused by defective design, defective material, or defective workmanship.

Article 00511.9 - Cancellation and Early Termination Fee

00511.9.1 Convenience cancellation schedule. If Buyer cancels the Purchase Order for convenience after Supplier acknowledgement, Buyer shall pay the following fee as a percentage of the order value, subject to the notes below: 0-30 days: 7.5%; 31-60 days: 25%; 61-90 days: 38%; 91-120 days: 55%; 121-150 days: 70% less documented resale or scrap salvage actually realized by Supplier; 151-180 days: 85%; and 181 or more days: 100% of the undelivered balance only. Delivered and accepted items remain separately payable under Article 00511.2.

00511.9.2 Cancellation caused by Supplier default. The fee schedule does not apply where Buyer terminates for Supplier's uncured material default. A dispute regarding default status shall be resolved under Article 00511.12.

00511.9.3 Work-in-progress evidence. Supplier shall provide a WIP statement, major material purchase orders, and cancellation cost details. Failure to provide evidence may delay payment but does not change the percentage schedule where the schedule is otherwise applicable.

Article 00511.10 - Suspension

00511.10.1 Suspension limits. Buyer may suspend work for commercial convenience no more than two (2) times during the Purchase Order term, and the aggregate duration of such commercial-convenience suspensions shall not exceed thirty (30) calendar days unless Supplier agrees in writing. Regulatory inspection holds, government clearance waits, and safety stoppages imposed by law are not counted as suspensions for this limit.

00511.10.2 Excess suspension. If Buyer requests a commercial-convenience suspension beyond the permitted limit, the excess period shall be treated as a compensable change order entitling Supplier to schedule extension, storage, demobilization, and reasonable remobilization costs. The excess period shall not automatically be deemed termination for convenience unless Buyer issues a separate written termination notice.

00511.10.3 Restart notice. Supplier shall restart work within five (5) business days after receipt of Buyer's restart notice, subject to material and resource availability.

Article 00511.11 - Purchase Order Amendment and Change Orders

00511.11.1 Amendment timing. Supplier shall notify Buyer of price, schedule, and technical impacts within five (5) business days after receiving a written change request. Once both parties agree the commercial and technical impacts in a Change Memorandum, Buyer shall issue the formal Purchase Order amendment within ten (10) calendar days of the agreed Change Memorandum.

00511.11.2 No constructive change. Supplier shall not proceed with a change affecting price, delivery, guarantee, LD, or cancellation fee until the Purchase Order amendment is issued, unless Buyer signs an emergency written instruction referencing this Article.

00511.11.3 Email clarifications. Email discussions are evidence of negotiation only and do not amend the Purchase Order unless incorporated into a signed amendment.

Article 00511.12 - Governing Law and Dispute Resolution

00511.12.1 Governing law. This Purchase Order and all non-contractual obligations arising out of or in connection with it shall be governed by the laws of India, excluding conflict-of-law principles.

00511.12.2 Arbitration. Disputes relating to price adjustment, delay LD, warranty, cancellation fee, limitation of liability, and consequential damages shall be finally resolved by arbitration seated in Singapore under the SIAC Rules. The language of arbitration shall be English.

00511.12.3 Carved-out proceedings. Either party may approach courts in Mumbai, India for interim injunctions, enforcement of undisputed payment obligations, or urgent bank-guarantee restraint proceedings. Disputes limited to laboratory test methodology shall first be referred to a technical expert in Mumbai; if the expert's determination is rejected, only the remaining legal dispute proceeds to Singapore arbitration.

Article 00511.13 - Insurance at Godrej Premises

00511.13.1 Buyer site insurance. After the equipment is delivered to Godrej's premises and the goods receipt note is created, Godrej shall maintain property insurance for physical loss of or damage to the equipment while the equipment remains at Godrej's premises.

00511.13.2 Exclusions during site handling. The insurance obligation in Article 00511.13.1 does not cover loss or damage during unloading, internal shifting before goods receipt note creation, or periods when the equipment is under Supplier's temporary custody for post-delivery rework at Godrej's premises. Supplier remains responsible for its personnel, tools, and rework materials.

00511.13.3 Claim cooperation. Each party shall provide reasonable documents and surveyor access for insurance claims. No party admits liability merely by cooperating with an insurance survey.

Article 00511.14 - Limitation of Liability

00511.14.1 Aggregate liability cap. Except as stated in Article 00511.14.2, each party's aggregate liability under or in connection with this Purchase Order shall be capped at one hundred twenty-five percent (125%) of the Purchase Order value.

00511.14.2 Carve-outs. The cap does not apply to confidentiality breaches, intellectual property infringement, fraud, willful misconduct, gross negligence, bank-guarantee invocation, payment obligations, indemnity obligations, or safety shutdown costs recoverable under Article 00511.8.2.

00511.14.3 LD interaction. Liquidated damages paid under Article 00511.5 count toward the aggregate cap only after the Article 00511.5 cap is reached. This sentence overrides contrary boilerplate in the General Procurement Conditions.

Article 00511.15 - Exclusion of Consequential Damages

00511.15.1 Consequential damages waiver. Neither party shall be liable to the other for loss of revenue, loss of profit, loss of use, loss of production, downtime, loss of business opportunity, indirect damages, special damages, punitive damages, exemplary damages, or consequential damages.

00511.15.2 Exceptions. The exclusion in Article 00511.15.1 shall not apply to confidentiality breaches, indemnity obligations, intellectual property infringement, fraud, gross negligence, willful misconduct, bank-guarantee claims, liquidated damages expressly stated in Article 00511.5, or safety shutdown costs recoverable under Article 00511.8.2.

00511.15.3 No double recovery. The same loss shall not be recovered twice under different headings, but contractual LD may be recovered without proof of actual loss where the conditions for LD are satisfied.

Article 00511.16 - Annex Extracts and Distractor Notes

Annex B extract - Critical Dispatch Documents: GA drawing, welding procedure qualification, hydro-test certificate, approved ITP, and statutory test certificate are Critical Dispatch Documents. Other manuals and vendor data books are non-critical unless expressly elevated by a signed amendment.

Annex C logistics note: a planning worksheet mentions seven calendar days of storage for budgeting purposes. Under Article 00511.1, this planning note is non-operative and cannot override Article 00511.4.1.

Annex D approved critical sub-suppliers: BrightForge Rings Pvt. Ltd., NorthStar Controls Pte. Ltd., and BlueLine International Logistics. Events affecting any other vendor do not automatically qualify for supply-chain Force Majeure relief.